Samuelson's story, at the start of the chapter, gives us an insight into the problem of boom and bust in Indian agriculture. The price of onions surges under shortages; this attracts sowing; the price of onions crashes in a glut; this discourages sowing; and so on.

How do we break out of the cobweb model? *Storage* (also called 'hoarding') is the technique through which goods are transported from a time point where they are cheap to a time point where they are expensive. *Futures trading* looks into the future, and produces a forecasted price at the harvest date which can be used for sowing decisions or storage decisions. [2] *Free trade* (within India [3] and across the border [4]) generates arbitrage, where cheap goods are taken away and additional supply brought in when prices are high.

We suffer from the cycle of boom and bust in Indian agriculture because the state has disrupted all these four forces of stabilization—warehousing, futures trading, domestic trade and international trade. [5] The state makes things worse by having tools like MSP and applying these tools in the wrong way. Better intuition into the working of the price system would go a long way in shifting the stance of policy.

When private persons fail to achieve the right decisions on sowing and storage, this has larger consequences. Food supply crises and inflation crises impose negative externalities upon the larger populace. If anything, addressing this market failure calls for subsidizing the stabilizing responses of warehousing, futures trading, domestic trade and international trade.

Prices, fast and slow

Some people get unhappy when prices move rapidly. A big change in the price, over a short time period, i.e., high volatility of the price, raises concern in their minds. But the one thing worse than a price that adjusts rapidly is a price that does not.

Suppose an imbalance between supply and demand builds up. Would we rather have the imbalance closed quickly or slowly? A better functioning